

Proprietary Product Difference

(High/Medium/Low)

Two generic strategies can be pursued –

Being the lowest cost producer in the industry



Being a player with of differentiation



- In industries where firms have successfully differentiated their products, entry becomes difficult for new players as there is no generic product to compete with initially.
- If the sources of differentiation are proprietary, the entrants cannot even make low-cost variants or even match the products of the existing players let alone outperform them.

Network Effect of the Product

(Yes/No)

The key question to ask when identifying network effect is: how does a customer benefit if more consumers use the product?



- A network effect is important because it gives a huge first-mover advantage to the incumbents. As a small network is established on a platform, more and more consumers are attracted to it; over time it gains in size, and the network effect becomes stronger and stronger.
- The challengers find it very difficult to enter – as the network tends to be very sticky and does not move unless the difference in the offering is huge.